AI PROCUREMENT

Service Level Agreement

Sample contract schedule for procuring, deploying and managing an AI system

Buyer	[BUYER LEGAL NAME]
Supplier	[SUPPLIER LEGAL NAME]
AI system	[SYSTEM / SERVICE NAME AND VERSION]
Effective date	[DD MONTH YYYY]

Status and intended use

This is a sample procurement schedule, not legal advice and not a certification of compliance. Replace every bracketed item, validate each target against the specific use case, and obtain legal, security, privacy, technical and procurement review before signature.

Source synthesis

- Updated EU AI Model Contractual Clauses (high-risk and light versions) for AI-specific duties and EU AI Act themes.
- Australian Government Digital Transformation Agency AI Model Clauses, Version 2.0, for approvals, accuracy checks, incident notification, human oversight, testing, monitoring, audit and circuit-breaker controls.
- UK Government Model Services Contract, including Schedule 3 (Performance Levels), for measurable service levels, reporting, credits and contract-management mechanics.
- OECD AI Principles, updated in May 2024, for human rights, fairness, transparency, robustness, safety, security and accountability.
- An operational procurement checklist derived from OECD-aligned governance themes and the Australian Government AI procurement checklist. It is a synthesis, not an official OECD checklist.

Prepared: 7 November 2026

How to use this sample

Tailoring rule

Do not adopt generic percentages without a test set and baseline. For each AI metric, define the task, population, dataset, calculation, acceptable error, measurement owner and remedy. Sample numbers in this document are negotiation starting points only.

- Use this as a schedule to a main services agreement. The main agreement should address pricing, liability, insurance, governing law, confidentiality, intellectual property, dispute resolution and termination.
- Choose the risk profile before selecting controls. High-impact uses - such as employment, education, essential services, law enforcement, health or safety - require stronger evidence, oversight and legal review.
- Delete irrelevant clauses and add sector-specific obligations. Resolve conflicts with the main agreement through the order-of-precedence clause.
- Attach the final system description, acceptance plan, data schedule, security plan, subprocessors, approved underlying models and completed checklist.

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14. 14. General SLA terms and signatures
15. Appendices A-G: system schedule, scorecard, acceptance plan, checklist, alignment matrix, incident matrix and sources

Document control

Field	Value
Document owner	[ROLE / FUNCTION]
Business owner	[NAME / ROLE]
AI risk owner	[NAME / ROLE]
Security and privacy reviewers	[NAME / ROLE]
Version and status	1.0 - sample for tailoring
Review cycle	At least annually and after any material change or serious incident

1. Parties, purpose and contract structure

1.1 Parties

This Service Level Agreement (SLA) is entered into between [BUYER LEGAL NAME] (Buyer) and [SUPPLIER LEGAL NAME] (Supplier) and forms part of the [MASTER SERVICES AGREEMENT / CONTRACT] dated [DATE] (Main Agreement).

1.2 Purpose

The Supplier shall provide the AI System and related services so that they remain available, accurate for the Approved Intended Use, secure, explainable to the required level, subject to effective human oversight, and capable of safe interruption throughout the Contract Term.

1.3 Contract documents and precedence

If documents conflict, the following order applies unless the parties expressly agree otherwise: (1) signed change or variation; (2) Main Agreement; (3) this SLA; (4) System Schedule; (5) Security and Data Schedule; (6) Acceptance Test Plan; (7) Supplier proposal and documentation. A stricter legal, security, privacy or safety requirement prevails to the extent legally permitted.

1.4 No implied regulatory status

A reference to the EU AI Act, OECD AI Principles or a model clause does not by itself make that framework applicable, establish conformity, or transfer a legal duty. Each party remains responsible for identifying its own legal role and obligations.

2. Definitions and interpretation

Term	Sample meaning
AI Incident	An event, failure or behaviour involving the AI System that causes or could reasonably cause death, injury, rights impact, unlawful discrimination, material financial loss, service disruption, data compromise, materially incorrect output or loss of control.
AI Hazard	A condition with the potential to cause an AI Incident, including unsafe, biased, insecure, deceptive or materially unreliable behaviour.
Approved Intended Use	The purpose, users, decisions, operating environment, data, affected persons and limits specified in Appendix A.
Buyer Data	All data, prompts, files, records, feedback and personal data supplied by or for the Buyer, plus data generated specifically from the Buyer service, excluding Supplier telemetry that cannot identify the Buyer or any person.
High-Impact Decision	A decision that may materially affect a person's rights, access to services, employment, education, health, safety, credit, legal status or similarly significant interests.
Material Change	A change that may affect intended use, risk, accuracy, fairness, explainability, security, privacy, data location, underlying model, subprocessors, user experience or legal classification.
Model Drift	A measurable deterioration or change in performance caused by changes in data, environment, users or model behaviour.
Serious Incident	An incident meeting the applicable legal threshold or rated Severity 1 under Appendix F.

3. AI system description, intended use and risk classification

3.1 Complete system inventory

Before implementation, the Supplier shall complete Appendix A and identify each AI model, component, data flow, integration, hosting location, subprocessor, open-source component and external service used to deliver the AI System.

3.2 Approved use and prohibited use

The Supplier shall configure and operate the AI System only for the Approved Intended Use. The following are prohibited unless expressly approved in writing after legal and risk review:

- fully automated High-Impact Decisions without meaningful human review and a route to challenge;
- use of Buyer Data to train, fine-tune, evaluate or improve a shared or third-party model;
- biometric categorisation, emotion inference, social scoring, manipulative or deceptive practices, unlawful profiling, or any practice prohibited by applicable law;
- use of a model, service, subprocessor or data location not listed in Appendix A;
- production use before acceptance or after a suspension instruction.

3.3 Risk classification

The parties shall record the classification below and update it after any Material Change. Where the parties disagree, the more protective control set applies until the issue is resolved.

Assessment	Selection / evidence
EU AI Act status	[Not in scope / Provider / Deployer / Importer / Distributor / Other]
EU risk category	[Prohibited / High-risk / Transparency duty / General-purpose AI dependency / Other / Not applicable]
Organisational impact tier	[Low / Moderate / High / Critical]
Affected persons	[Groups, geography, vulnerable persons, scale]
Impact assessments	[AI impact / human rights / privacy / security / equality / safety - references and dates]
Residual risk approval	[Approver, conditions, expiry / review date]

4. Governance, roles and supplier responsibility

4.1 Supplier responsibility

The Supplier remains fully responsible for performance and compliance, including acts and omissions of its personnel, subprocessors, upstream model providers and other supply-chain participants. Buyer approval of a model or change does not reduce that responsibility.

4.2 Governance roles

Each party shall appoint an accountable contract owner, operational lead, security contact, privacy contact and AI risk contact. Governance meetings shall occur monthly during implementation, monthly for the first six months of production, and at least quarterly thereafter.

Activity	Supplier	Buyer	Joint evidence
Define intended use and prohibited uses	Support	Accountable	Approved Appendix A
Technical design and controls	Accountable	Review	Architecture and control record
Acceptance testing	Execute / support	Approve	Signed acceptance report
Monitoring and reporting	Accountable	Challenge	Monthly scorecard

Activity	Supplier	Buyer	Joint evidence
Human oversight process	Enable and train	Operate	Training and override logs
Incident response	Lead technical response	Lead business response	Incident record and root-cause report
Regulatory classification	Provide information	Determine with counsel	Decision record

4.3 Competence and training

The Supplier shall use suitably skilled personnel and provide role-based training, user instructions, known limitations, safe-use guidance, escalation paths and refresher training after material changes.

5. Implementation, testing and acceptance

5.1 Implementation plan

The Supplier shall maintain an implementation plan covering design, data preparation, security, integration, user testing, pilot, migration, training, rollback and production readiness. No milestone is complete until its evidence is accepted by the Buyer.

5.2 Acceptance test plan

At least [20] Business Days before testing, the Supplier shall provide an Acceptance Test Plan containing test cases, representative datasets, protected-group analysis where lawful, security and misuse tests, pass/fail thresholds, test independence, defect severity, retesting and evidence-retention arrangements.

5.3 Minimum acceptance gates

- functional and integration tests pass;
- security testing identifies no unresolved critical or high-risk vulnerability;
- AI quality targets in Appendix B are met on an agreed, representative and version-controlled evaluation set;
- fairness and accessibility tests are completed and residual risks are accepted;
- human override, fallback and circuit-breaker mechanisms work under realistic conditions;
- logging, audit, privacy, deletion, backup, recovery and exit tests pass;
- documentation and training are complete; and
- the Buyer signs an Acceptance Certificate. Use, payment or silence does not constitute acceptance unless the Main Agreement expressly states otherwise.

5.4 Pilot and staged deployment

For High or Critical impact systems, production shall begin with a controlled pilot, limited users and data, enhanced monitoring and a pre-agreed stop condition. The Buyer may require an independent assessment before scaling.

6. Service levels and support

Sample targets

The values below are illustrative. Replace them with targets supported by user need, baseline testing, volume forecasts, architecture and risk appetite.

ID	Service level	Sample target	Measurement	Period
S1	Monthly production availability	>= 99.90%	Supplier telemetry; 24x7; exclude only approved maintenance	Monthly

ID	Service level	Sample target	Measurement	Period
S2	Planned maintenance notice	>= 10 Business Days; urgent notice as soon as known	Change record and notice timestamp	Per change
S3	Interactive response time	95th percentile <= 3 seconds for [DEFINED TRANSACTION]	Buyer-observable end-to-end monitoring	Daily / monthly
S4	Severity 1 response / restore	Acknowledge 15 min; contain 1 hr; restore safe service 4 hrs	Incident platform timestamps	Per incident
S5	Severity 2 response / restore	Acknowledge 1 hr; workaround 4 hrs; restore 1 Business Day	Incident platform timestamps	Per incident
S6	Recovery point / recovery time	RPO <= 4 hrs; RTO <= 8 hrs	Recovery test at least annually	Per test / event
S7	Support request handling	95% within agreed priority response target	Ticketing system	Monthly
S8	Monthly SLA report	By 5th Business Day; complete and accurate	Delivery and review record	Monthly

6.1 Availability calculation

Availability % = ((Total Minutes - Unavailable Minutes) / Total Minutes) x 100. An outage begins when monitoring detects it or the Buyer reports it, whichever is earlier, and ends only when normal and safe service is restored. Degraded service counts as unavailable when a key user journey cannot be completed or the AI System must be suspended for safety.

6.2 Exclusions

An exclusion applies only to the extent the Supplier proves that the failure was caused solely by a documented Buyer act, force majeure event under the Main Agreement, or approved maintenance within the agreed window. Failures of subprocessors, upstream models, capacity planning, security controls or Supplier dependencies are not exclusions.

6.3 Monitoring integrity

The Supplier shall use auditable measurement methods, retain raw evidence, provide dashboard access or exports on request, and not change a method without Buyer approval. The Buyer may use its own measurements; unresolved differences shall be reviewed in the next governance meeting.

7. AI quality, fairness, transparency and human oversight

ID	AI measure	Sample target	Method	Period	Alignment
A1	Task quality / accuracy	[Metric] >= [target] on [evaluation set]	Agreed labelled test set; confidence interval reported	Per release + monthly sample	Both
A2	Material error rate	<= [x]% of outputs with defined material error	Human-reviewed stratified sample	Monthly	Both
A3	Grounded response rate (if generative)	>= [x]% with support from approved sources	Citation / evidence verification protocol	Per release + monthly	Both
A4	Fairness	No group gap above [x] points, or justified and approved	Disaggregated test where lawful and statistically valid	Quarterly + change	Both
A5	Drift	Alert at > [x] point drop or agreed distribution shift	Production data compared with baseline	Continuous / weekly	Both

ID	AI measure	Sample target	Method	Period	Alignment
A6	Explainability coverage	100% of High-Impact Decisions have required reason record	Log review and user test	Monthly	Both
A7	Human override	100% availability; override completed within [x] minutes	Control test and event logs	Quarterly + incident	Both
A8	Logging completeness	>= 99.5% of in-scope transactions contain required fields	Automated log quality check	Daily / monthly	EU + contract
A9	Complaint closure	>= 95% within [10] Business Days	Case system	Monthly	OECD + contract

7.1 Metric specification

For every AI metric, Appendix B shall identify the decision or task, unit of analysis, target population, evaluation dataset, sampling method, formula, threshold, confidence or uncertainty, acceptable exclusions, owner, frequency and remedy. A global average shall not hide a material failure for a relevant subgroup or high-risk scenario.

7.2 Fairness and rights

The Supplier shall test for unlawful discrimination and foreseeable unequal impact, using lawful and proportionate methods. Where sensitive data cannot be used, the parties shall agree another evidence-based approach. The Supplier shall document trade-offs and shall not improve an aggregate result by materially worsening a vulnerable group without Buyer approval.

7.3 Transparency and explainability

The Supplier shall provide information appropriate to the user and risk, including that AI is being used, the system purpose, important factors affecting outputs, meaningful limitations, confidence or uncertainty where relevant, data-source categories, human review, complaint routes and how to obtain further information. For High-Impact Decisions, the explanation must support effective review and challenge.

7.4 Human oversight and circuit breaker

The AI System shall provide trained authorised personnel with the information, time, authority and technical means to review, disregard, override, roll back, pause or stop the AI System. The Supplier shall provide a Buyer-accessible circuit breaker and a tested safe fallback. An instruction to stop for safety takes effect immediately.

7.5 Output verification

The Supplier shall apply risk-based quality assurance to outputs used in delivering the Services. The Buyer shall not be required to treat generated content as fact. High-impact outputs must be verified by a competent human before action unless the approved design and applicable law allow otherwise.

8. Data, privacy, security and intellectual property

8.1 Data rights and permitted use

As between the parties, the Buyer retains all rights in Buyer Data. The Supplier may process Buyer Data only to provide, secure and support the contracted service and only for the approved period. The Supplier shall not use Buyer Data, prompts, outputs or feedback to train or improve any shared model without specific prior written approval.

8.2 Data provenance and quality

The Supplier shall document the source, authority, licence, collection context, preparation, representativeness, known gaps, bias risks and fitness of training, validation, testing and retrieval data used for the Buyer service. It shall maintain lineage sufficient to investigate outputs and rights claims.

8.3 Privacy

The parties shall complete a data protection schedule and any required impact assessment before processing personal data. The Supplier shall support notices, access, correction, deletion, objection, human review and other applicable rights; minimise data; separate tenants; and not change data location or purpose without approval.

8.4 Security controls

- encryption in transit and at rest using approved methods;
- least-privilege access, strong authentication and periodic access review;
- secure development, dependency management, vulnerability scanning and timely patching;
- protection against prompt injection, data poisoning, model extraction, adversarial input, unsafe tool use and unauthorised actions where relevant;
- logging, alerting, backup, recovery and tested incident response;
- separation of development, test and production environments; and
- independent security testing before production and after a material security change.

8.5 Intellectual property and third-party claims

The Main Agreement shall identify ownership and licences for the AI System, customisations, prompts, configurations, outputs, documentation, test assets and datasets. The Supplier warrants that it has the necessary rights and shall maintain a process for copyright, data-rights and other third-party claims, subject to the Main Agreement.

9. Incidents, hazards, complaints and corrective action

9.1 Immediate notice

The Supplier shall notify the Buyer immediately on becoming aware of a Severity 1 AI Incident or AI Hazard and in any event within [2 hours]. The notice shall not be delayed because an investigation is incomplete. Other incidents shall be notified within the times in Appendix F.

9.2 Initial and follow-up information

The Supplier shall provide the known facts, affected versions, times, users or populations, data and systems, actual and potential harm, containment, safe-use advice, regulatory implications and contact person. It shall update the Buyer at the agreed frequency until closure.

9.3 Containment and cooperation

The Supplier shall preserve evidence, stop or restrict affected functions, activate fallback arrangements, correct unsafe outputs where feasible, support affected-person communications, and cooperate with investigations and legally required reporting. Public or regulator communications relating specifically to the Buyer shall be coordinated where lawful.

9.4 Root cause and corrective action

For Severity 1 or 2 incidents, the Supplier shall provide an initial analysis within [2] Business Days and a final root-cause and corrective-action report within [10] Business Days, unless the Buyer agrees another period. Closure requires Buyer acceptance and evidence that corrective action is effective.

9.5 Complaints and challenges

The Supplier shall support a clear route for users and affected persons to report errors, seek human review and challenge an outcome. Complaint patterns shall be analysed for hidden quality, fairness, accessibility or safety issues.

10. Changes, retraining, updates and third-party models

10.1 Change classification and notice

The Supplier shall classify each change as standard, significant or Material. A Material Change requires at least [30] days prior notice and Buyer written approval before production. Emergency security changes may use an expedited process but must preserve safety and be documented promptly.

10.2 Minimum change evidence

- description, reason, affected components and proposed date;
- new model, version, provider, ownership, country of origin, hosting and data location;
- impact on performance, fairness, explainability, privacy, security, accessibility and legal classification;
- comparative test results against the current approved version;
- updated documentation, training and monitoring thresholds; and
- rollback, continuity and incident plans.

10.3 No silent replacement

The Supplier shall not silently replace or materially alter an underlying model, retrieval source, safety control, system prompt, tool, subprocessor or data-processing location. Version identifiers shall be available in records for each in-scope transaction where technically feasible.

10.4 Buyer options

The Buyer may approve, approve with conditions, require testing, defer, reject, remain on a supported prior version, require rollback, suspend the affected function, or terminate where a proposed change materially increases risk or reduces agreed capability and no reasonable alternative is provided.

11. Monitoring, records, audit and regulatory cooperation

11.1 Continuous monitoring

The Supplier shall monitor availability, errors, harmful or anomalous behaviour, quality, drift, fairness, security, privacy, complaints, overrides, incidents, model changes and subprocessors. Threshold breaches shall create alerts and documented action.

11.2 Monthly performance report

- all service and AI metric results, formulas, raw counts and trends;
- failures, exclusions, credits and remediation;
- incidents, hazards, complaints, overrides and material errors;
- drift, fairness and subgroup results where lawful;
- changes, releases, subprocessors and underlying models;
- security vulnerabilities and patch status;
- capacity, continuity and upcoming risks; and
- open actions, owner and due date.

11.3 Records and retention

The Supplier shall retain sufficient records to demonstrate performance, reproduce agreed tests, investigate outcomes and support audit. Retention shall be [7 years for high-impact use / contract term plus X years / applicable legal period], subject to data minimisation and the Security and Data Schedule.

11.4 Audit and evidence

On reasonable notice, and immediately after a serious incident or credible compliance concern, the Buyer or its independent assessor may review relevant systems, policies, personnel, records, test evidence, logs, controls and subprocessors. The Supplier may use proportionate confidentiality and security safeguards but shall not withhold evidence needed to assess the contracted service.

11.5 Regulatory cooperation

Each party shall promptly provide information reasonably required to meet applicable regulator, conformity, impact-assessment, transparency, incident-reporting or post-market monitoring duties. The Supplier shall notify the Buyer of a relevant investigation, restriction, recall, material claim or regulatory finding affecting the AI System.

12. Remedies, service credits, suspension and termination

Sample failure	Sample service credit
Availability 99.50% to 99.89%	5% of monthly recurring charge for affected service
Availability 99.00% to 99.49%	10% of monthly recurring charge for affected service
Availability below 99.00%	15% of monthly recurring charge for affected service
Missed Severity 1 acknowledgment or containment	5% per event, capped at 10% monthly
Missed critical AI quality threshold	5% per metric per month plus mandatory corrective plan
Late or materially inaccurate monthly report	1% per report after 2 Business Day cure period

12.1 Credit mechanism

Credits are price adjustments, calculated automatically from validated results and shown on the next invoice. The sample monthly cap is [20%] of recurring charges for the affected service. Credits do not excuse performance or replace corrective action.

12.2 Not the sole remedy for serious matters

Credits are not the exclusive remedy for fraud, wilful default, confidentiality breach, data loss, security incident, intellectual-property claim, unlawful discrimination, personal injury, breach of a legal duty, repeated critical failure, failure to follow a stop instruction, or any matter stated in the Main Agreement.

12.3 Corrective action and chronic failure

After a critical or repeated failure, the Supplier shall provide a Buyer-approved corrective-action plan. Chronic failure includes [three failures of the same critical measure in any rolling six months], [two Severity 1 incidents caused by control failure], or service credits reaching the cap in [two months within a rolling six months].

12.4 Suspension and termination

The Buyer may immediately suspend an affected function where reasonably necessary to protect people, rights, data, security, safety or legal compliance. The Buyer may terminate for an unremedied material breach, chronic failure, unauthorised model or data use, failure to disclose a material issue, failure to comply with a stop instruction, or a Material Change that creates unacceptable risk.

13. Exit, transition, portability and deletion

13.1 Exit plan

Within [30] days after the Effective Date, the Supplier shall provide and maintain an exit plan covering continued safe service, knowledge transfer, data and configuration export, replacement support, dependency removal, licences, records, deletion and verification.

13.2 Portability package

On request and at exit, the Supplier shall provide Buyer Data, outputs, agreed logs, model and system documentation, configuration, prompt and retrieval assets owned or licensed to the Buyer, test results, issue history and other transition materials in open or agreed machine-readable formats.

13.3 Deletion

Within [30] days after the applicable retention period or Buyer instruction, the Supplier shall securely delete Buyer Data from active systems and instruct subprocessors to do the same. Backups shall be isolated and expire within [90] days unless law requires retention. An authorised officer shall provide a deletion certificate stating scope, date, method and exceptions.

13.4 No lock-in by design

The Supplier shall not use undisclosed technical, contractual or data restrictions that prevent reasonable transition. Any transfer fee and assistance rate shall be stated before signature.

14. General SLA terms

14.1 Review and continuous improvement

The parties shall review this SLA at least annually, after a Material Change, after a serious incident, when monitoring shows a changed risk, and when relevant law or policy changes. A review does not lower a target without a signed variation.

14.2 Subcontracting

The Supplier shall maintain an up-to-date supply-chain list, conduct due diligence, flow down relevant obligations and obtain Buyer approval for material new subprocessors or upstream model providers. The Supplier remains responsible for them.

14.3 Notices and contacts

Operational, security, privacy and incident contacts are listed in Appendix A. Formal legal notices shall follow the Main Agreement.

14.4 Survival

Clauses concerning confidentiality, data use, records, audit, cooperation, intellectual property, exit, deletion and accrued remedies survive to the extent needed to give them effect.

Signatures

For the Buyer	For the Supplier
Name: _____	Name: _____
Title: _____	Title: _____
Signature: _____	Signature: _____
Date: _____	Date: _____

Appendix A - AI System Schedule

Completion requirement

This appendix should be completed before contract signature and maintained as a controlled record.

Field	Agreed detail
System / service name and unique ID	[ ]
Current version and release date	[ ]
Business objective and measurable outcome	[ ]
Approved Intended Use	[Purpose, users, decisions, environment, volume]
Prohibited or out-of-scope uses	[ ]
Affected persons and vulnerable groups	[ ]
High-Impact Decisions	[Yes / No; describe]
AI models and providers	[Model, version, owner, country of origin]
Hosting and data locations	[At rest / processing / backup]
Buyer Data categories	[Personal, sensitive, confidential, public]
Training / fine-tuning / retrieval data	[Sources, rights, provenance, quality]
Integrations and tools	[Systems, actions, permissions]
Subprocessors and supply-chain dependencies	[ ]
Human oversight and decision authority	[Role, time, information, override]
Fallback and circuit breaker	[Method, owner, test frequency]
Impact and assurance records	[Links / dates / approvers]
Regulatory classification	[Jurisdiction, role, risk category]
Support and incident contacts	[24x7 contact details]

Appendix B - AI SLA Scorecard and Metric Specification

B1. Metric specification template

Item	Agreed specification
Metric ID and name	[ ]
Purpose and risk addressed	[ ]
Task / decision / output	[ ]
Population and operating conditions	[ ]
Formula and unit	[ ]
Evaluation dataset and version	[ ]
Sampling and labelling method	[ ]
Overall target and warning threshold	[ ]
Subgroup / scenario thresholds	[ ]

Item	Agreed specification
Confidence / uncertainty rule	[ ]
Frequency and owner	[ ]
Evidence source and retention	[ ]
Failure action and remedy	[ ]

B2. Monthly scorecard

Measure	Target	Actual	Status	Corrective action
Availability	[Target]	[Actual]	[Pass / Fail]	[Owner / due date]
Latency	[Target]	[Actual]	[Pass / Fail]	[Owner / due date]
Severity 1 response	[Target]	[Actual]	[Pass / Fail]	[Owner / due date]
Task quality	[Target]	[Actual]	[Pass / Fail]	[Owner / due date]
Material error rate	[Target]	[Actual]	[Pass / Fail]	[Owner / due date]
Grounded response rate	[Target]	[Actual]	[Pass / Fail]	[Owner / due date]
Fairness	[Target]	[Actual]	[Pass / Fail]	[Owner / due date]
Drift	[Target]	[Actual]	[Pass / Fail]	[Owner / due date]
Explainability coverage	[Target]	[Actual]	[Pass / Fail]	[Owner / due date]
Human override	[Target]	[Actual]	[Pass / Fail]	[Owner / due date]
Logging completeness	[Target]	[Actual]	[Pass / Fail]	[Owner / due date]
Complaint closure	[Target]	[Actual]	[Pass / Fail]	[Owner / due date]

Appendix C - Acceptance and Production Readiness Plan

#	Gate	Required evidence	Approver	Status
1	Use case and prohibited uses approved	Approved Appendix A	Buyer business and legal owners	[ ]
2	Architecture, models, providers and data flows disclosed	Architecture and inventory	Buyer technology owner	[ ]
3	Data rights, provenance, quality and representativeness verified	Data sheet and sampling report	Data owner	[ ]
4	Privacy, security, human-rights and equality reviews completed as applicable	Signed assessments	Relevant risk owners	[ ]
5	Functional and integration tests pass	Test report	Product owner	[ ]
6	AI quality and subgroup thresholds pass	Versioned evaluation report	AI risk owner	[ ]
7	Adversarial, misuse and security testing completed	Security report and remediation	Security owner	[ ]

#	Gate	Required evidence	Approver	Status
8	Transparency, explanation and accessibility tested with users	User test report	Service owner	[ ]
9	Human override, circuit breaker and fallback tested	Witnessed test record	Operational owner	[ ]
10	Monitoring, logs, incident process and contacts tested	Monitoring and exercise evidence	Operations owner	[ ]
11	Training and user instructions completed	Attendance and materials	Business owner	[ ]
12	Exit, export, deletion, backup and recovery tested	Test record	Technology owner	[ ]
13	Residual risks accepted and pilot conditions set	Signed risk acceptance	Accountable executive	[ ]
14	Acceptance certificate signed	Certificate	Authorised Buyer signatory	[ ]

Appendix D - Procurement Readiness Checklist

What this checklist is

This is an operational synthesis aligned to the OECD AI Principles and informed by the Australian Government AI procurement checklist and the World Economic Forum AI Procurement in a Box tool catalogued by OECD.AI. It is not an official OECD checklist and does not replace legal or policy requirements.

Phase	Topic	Checklist question	Alignment	Done
Plan	Need	Is the problem and expected public or business value clear, with a non-AI option considered?	OECD: well-being; DTA steps 1, 5	[ ]
Plan	Law and policy	Have applicable AI, privacy, security, procurement, anti-discrimination, records and sector rules been identified?	OECD: rights/accountability; DTA step 2	[ ]
Plan	Team	Are business, users, technical, data, security, privacy, legal, procurement and affected stakeholders involved?	OECD: accountability; DTA step 3	[ ]
Plan	Impact	Have AI, human-rights, privacy, equality, security and safety impacts been assessed proportionately?	OECD: rights/robustness; DTA step 4	[ ]
Plan	Readiness	Are data, infrastructure, skills, budget, governance and monitoring capabilities sufficient?	OECD: robustness; AI Procurement in a Box phase zero	[ ]
Source	Market engagement	Has early engagement tested feasibility, competition, interoperability and supplier diversity without distorting the process?	OECD: inclusive growth; DTA steps 5-7	[ ]

Phase	Topic	Checklist question	Alignment	Done
Source	Requirements	Do requirements specify intended use, prohibited use, outcomes, evidence, service levels and AI quality metrics?	OECD: transparency/accountability; DTA steps 8-10	[ ]
Source	Supplier evidence	Must bidders disclose models, data provenance, limitations, testing, incidents, supply chain and change controls?	OECD: transparency/traceability	[ ]
Evaluate	Testing	Will evaluation use realistic tasks, representative data, misuse tests and subgroup analysis rather than marketing claims?	OECD: robustness/fairness; DTA step 11	[ ]
Evaluate	Human oversight	Is human review meaningful, trained, timely and authorised to override or stop?	OECD: rights/accountability	[ ]
Evaluate	Security and privacy	Are model-specific threats, data use, retention, locations and subprocessors assessed?	OECD: robustness/privacy	[ ]
Evaluate	Explainability	Can users and affected persons understand AI use, limitations, reasons and challenge routes?	OECD: transparency/explainability	[ ]
Contract	Acceptance	Are objective acceptance gates, evidence, pilot limits and rejection rights written into the contract?	DTA model clauses; UK MSC testing	[ ]
Contract	Performance	Are availability, incident, quality, fairness, drift, logging and reporting measures complete and auditable?	OECD: robustness/accountability; UK MSC Schedule 3	[ ]
Contract	Data and IP	Are data ownership, training restrictions, licences, outputs, deletion and third-party claims clear?	OECD: rights/accountability; DTA steps 9, 13	[ ]
Contract	Changes	Is approval required for material model, data, hosting, subprocessor and safety-control changes?	OECD: transparency/robustness	[ ]
Contract	Incidents	Are immediate notice, stop controls, evidence preservation, root cause and reporting duties clear?	OECD: robustness/accountability; DTA model clauses	[ ]
Contract	Remedies	Are credits, corrective action, suspension, audit and termination rights proportionate to harm?	OECD: accountability; UK MSC performance mechanics	[ ]
Manage	Deployment	Are users trained and is high-impact deployment staged with stop conditions?	OECD: human capacity/robustness; DTA step 14	[ ]
Manage	Monitoring	Are service quality, drift, bias, complaints, incidents, overrides and real-world outcomes monitored?	OECD: lifecycle risk/accountability; DTA step 15	[ ]
Manage	Review	Are metrics and risks reviewed after changes, incidents and legal updates?	OECD: lifecycle risk; DTA step 15	[ ]

Phase	Topic	Checklist question	Alignment	Done
Manage	Exit	Can data, records and configurations be exported, service transferred and data verifiably deleted?	OECD: accountability; DTA step 15	[ ]

Appendix E - Source and Framework Alignment Matrix

How to read this matrix

"Both" means the control supports EU AI Act themes and one or more OECD values. It does not mean compliance has been established. "Contract" means normal commercial protection rather than a direct framework requirement.

Clause theme	EU source / theme	Australian DTA	UK MSC	OECD principle	Overall
Intended use and risk classification	EU MCC-AI / EU AI Act risk management and role analysis	DTA intended use and AI requirements	Services description / risk allocation	Rights, robustness, accountability	Both
Supplier and supply-chain responsibility	Provider / deployer allocation; quality system themes	Seller remains responsible; supply chain	Subcontracting and governance	Accountability	Both
Testing and acceptance	Risk management, data, accuracy, robustness	Training, testing, acceptance and pilot testing	Implementation and testing schedules	Robustness, safety, accountability	Both
Availability, support and reporting	Operational support for compliant use	Reporting and monitoring	Schedule 3 performance levels	Robustness and accountability	Contract + OECD
Accuracy and quality	Accuracy and performance requirements	Accuracy checks; training/testing/monitoring	Performance indicators	Robustness, safety	Both
Fairness and rights	Data governance; risk to fundamental rights	Fairness and privacy	Authority requirements / law	Human rights, fairness, privacy	Both
Transparency and explanations	Technical documentation, instructions, transparency	Underlying model transparency and explainability	Reports and records	Transparency and explainability	Both
Human oversight and stop control	Human oversight requirements	Human oversight and circuit breaker	Service continuity / governance	Rights, robustness, accountability	Both
Logging and traceability	Record keeping and technical documentation	Records, reporting, audit and logging	Reports and records / audit	Transparency, robustness, accountability	Both
Security and privacy	Robustness and cybersecurity; data governance	Digital security and privacy clauses	Security management	Privacy, robustness, security	Both
Incidents and hazards	Post-market monitoring and serious incident themes	Immediate incident notice and hazard controls	Incident and performance management	Robustness and accountability	Both
Model changes and retraining	Lifecycle risk management and technical documentation	Iterations, upgrades and approved models	Change control	Transparency, robustness, accountability	Both
Service credits	No direct AI Act requirement	Commercial remedy may be added	Schedule 3 service-credit mechanics	Accountability support	Contract
Exit, portability and deletion	Supports governance and data duties	Contract tailoring / privacy / records	Exit management schedule	Accountability, rights	Contract + Both

Appendix F - Incident Severity and Response Matrix

Level	Examples	Notify Buyer	Acknowledge	Contain / workaround	Updates / report
Severity 1 - Critical	Actual or credible risk of death, serious injury, major rights impact, unlawful discrimination at scale, major data/security compromise, loss of control, or critical public/service disruption.	Immediate and <= 2 hrs	15 min	1 hr	Every 60 min; root cause in 10 Business Days
Severity 2 - High	Materially incorrect or harmful outputs, significant degradation, limited rights impact, suspected material breach, or failed critical control without current severe harm.	<= 4 hrs	1 hr	4 hrs	Every 4 hrs; root cause in 10 Business Days
Severity 3 - Medium	Contained quality issue, moderate degradation, isolated complaint pattern or non-critical control failure.	<= 1 Business Day	4 Business hrs	2 Business Days	Daily until stable
Severity 4 - Low	Minor defect, question, documentation issue or improvement with no material impact.	<= 2 Business Days	1 Business Day	Planned release	Weekly / ticket updates

Appendix G - Source Notes and Primary References

Source status

This document is an original sample synthesis. It does not reproduce any source template in full. The linked source materials should be reviewed directly when tailoring the contract.

S1. Updated EU AI Model Contractual Clauses - resource page
Published 5 March 2025. Provides a full version for high-risk AI, a light version for non-high-risk AI, and commentary.

S2. EU Model Clauses - High Risk (DOCX)
Used as the AI-specific contractual reference for risk management, data, documentation, logging, transparency, human oversight, accuracy, robustness, security and lifecycle controls.

S3. Australian Government DTA AI Model Clauses, Version 2.0
Used for seller approval and responsibility, accuracy checks, intended use, underlying-model transparency, incidents, circuit breaker, fairness, privacy, oversight, testing, monitoring, reporting, audit and logging.

S4. UK Model Services Contract - Combined Schedules (England and Wales)
Page last updated 1 September 2025. Used for conventional SLA structure, performance levels, governance, records, change control, security and exit mechanics.

S5. OECD AI Principles overview
The principles were initially adopted in 2019 and updated in May 2024. Values: inclusive growth and well-being; human rights, democratic values, fairness and privacy; transparency and explainability; robustness, security and safety; accountability.

S6. OECD.AI catalogue - AI Procurement in a Box
OECD.AI catalogues this World Economic Forum tool as guidelines and a checklist. The OECD page states that catalogue tools are those of the originating authors and are not vetted or endorsed by OECD.

S7. Australian Government DTA AI procurement checklist
Used for the plan-source-evaluate-contract-manage lifecycle in Appendix D.